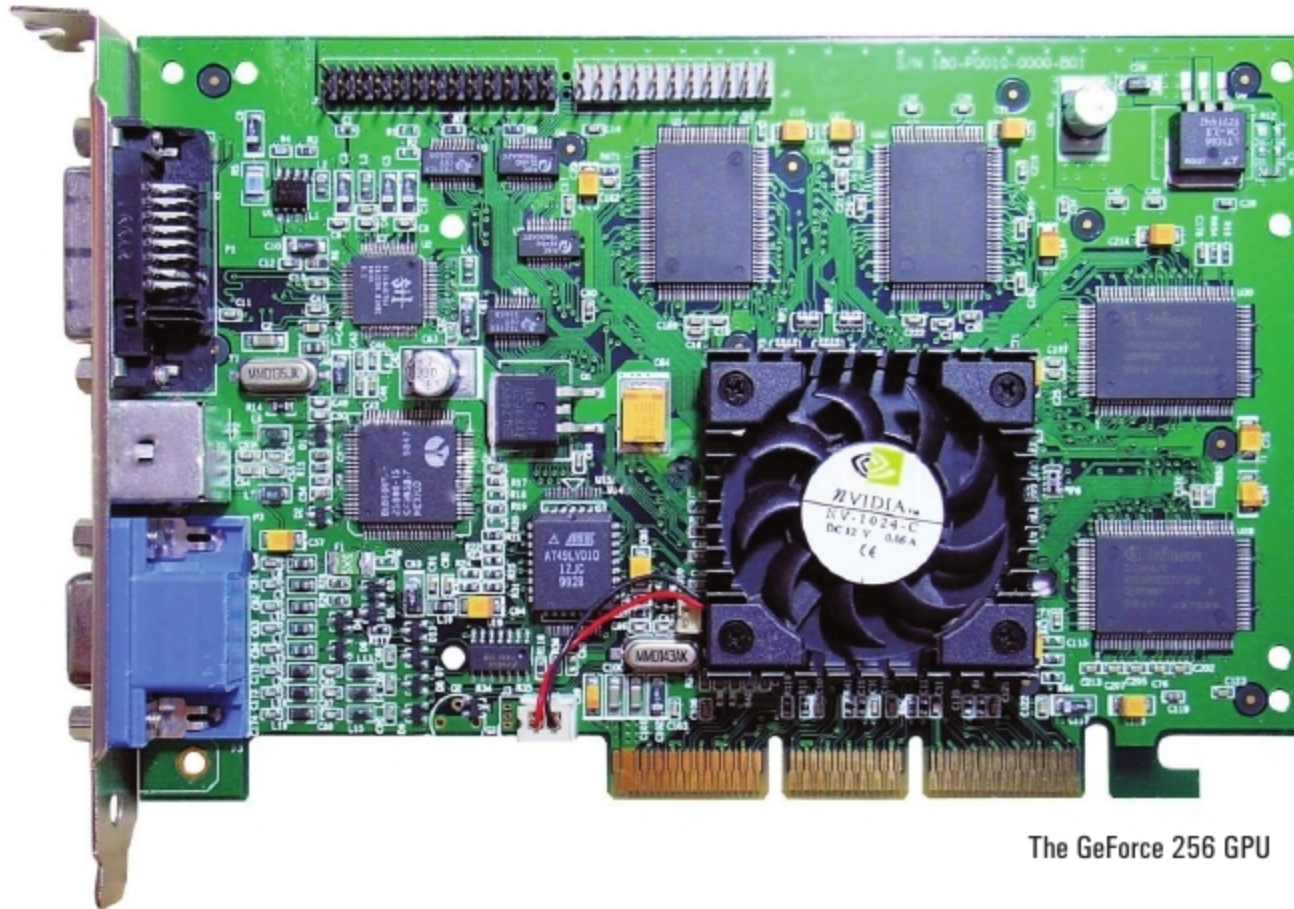


The Power of Ingredient Branding

In the first article in this series, I defined what ingredient branding is, covering its benefits as well as the importance of being the first in a product segment to implement it. I shared the case studies of Intel and Dolby to illustrate this. Two more very interesting case studies, that of NVIDIA and Zeiss, endorse the power of ingredient branding further.



The GeForce 256 GPU

In case you have not read the first article, let me recap the most important aspect of it, which is a simple explanation of what an ingredient brand is – it's when a component manufacturer builds a brand with the end user as the target audience, and not the ingredient brand's customer. A quick example to explain this is to look at how Intel built a brand with end users (PC buyers) in mind and did not rely on its reputation with its direct customers like HP, Compaq and IBM. As a result, the end users became aware of the capabilities of the brand and desired to have it in their PCs; thus, creating a 'pull' for the brand. This resulted in the PC manufacturer being able to charge a premium for using Intel as a processor, which was beneficial to both companies.

This second article explores two more cases of component companies that have built a brand. The first is the amazing story of how NVIDIA got to where it is today, and why it is poised to dominate the market in the future.

The second is an older story of Zeiss, with a legacy in lenses that made it the perfect choice to be an ingredient brand in camera phones.

NVIDIA and the GPU

The beginnings: NVIDIA is synonymous with gaming, and for good reason. It was established in 1993



by Jensen Huang, Chris Malachowsky and Curtis Priem. This

happened just three years after Intel launched its super successful 'Intel Inside' campaign. So NVIDIA's journey has been very different. It seems 'slow' only in comparison to Intel, which is an exception. But NVIDIA has grown from being a niche brand to now being more mainstream.

In 1995, the company first launched a PCI card that had 2D and 3D graphics built in. This was a commercial failure and forced the team to regroup. It then came up with a strategy based

on its understanding of its impatient consumers, who wanted the best technology faster than the then-current 18-month wait for new PCs to be launched. And so NVIDIA decided to launch a new chip every six months. This was a watershed moment for the company.

From this strategy emerged the company's first processor in 1997 called the Riva 128. That was a big success, selling a million units in four months. But 1999 is when NVIDIA came up with its game changer, the GPU (graphics processor unit) called the GeForce 256.

So what is the difference between a GPU and a CPU? Well a GPU is a processor that renders images, video and animation for the computer screen. It takes the load of the CPU because it does the rendering. But the great thing about a GPU is that it performs parallel functions, which is something a CPU is not designed for. And these parallel functions are needed in gaming to ensure no lag and better refresh rates.